

Estimating Nonresident Taxable Spending in Chesterfield

The County estimates that a reasonable range of **25% to 30%** of the spending subject to the proposed tax would be associated with people who do not live in Chesterfield. The County treats this as a planning range rather than a single fixed number.

What the analysis measures

There is no public record the County can use to count where every shopper lives. Retail sales are not administratively recorded or financially reported according to a customer's place of residence. The County does not track individual shoppers, and a complete record across cash, card, and other transactions does not exist; trying to create one would be impractical and raise clear privacy concerns. The County therefore used public information and published research to estimate the nonresident share in two different ways.

Local evidence first. Wherever possible, the County used public information specific to Chesterfield: taxable sales by category, household incomes, commuting patterns, and visitor spending. Published research helped fill gaps in the local data and inform the reasonable range.

How the two methods work

The two methods answer the same question in different ways. One starts with the overall sales picture; the other starts with people who live elsewhere but spend here:

Step	Method 1 — start with sales	Method 2 — start with people
1	Start with Chesterfield's full tax-applicable sales total.	Identify the main groups of people who live elsewhere but spend here.
2	Estimate the share connected to taxable purchases by businesses.	Estimate the tax-applicable portion of visitor spending.
3	Estimate the share connected to purchases Chesterfield residents make inside the County.	Estimate spending here by people who work in Chesterfield but live elsewhere, plus a separate allowance for other day visitors.
4	Consider a reasonable range of values to arrive at the nonresident range.	Net out overlap between the groups to avoid double counting, then consider a reasonable range to arrive at the range.

Neither approach gives one fixed answer; both weigh a reasonable range of values against the same sales total.

A closer look at the two methods

Method 1 — start with the sales picture

The first method starts with Chesterfield's full tax-applicable sales total and divides it into three shares that together account for all of it: purchases by businesses, purchases by County residents, and purchases by people who live elsewhere. Importantly, the resident share is not left as a free-floating remainder. It is anchored on its own using local household incomes and national consumer-spending patterns, which set roughly how much Chesterfield residents are able to spend on taxable goods and how much of that spending stays inside the County. With the business share and the resident share each set from their own evidence, the nonresident share is what remains.

National and Virginia research places the share of sales taxes connected to business purchases at roughly 40%. The County started from that published figure and compared it with independent local checks — drawing on employment by industry, national business expense and investment data, and the types of customers local businesses serve. Those local checks came in somewhat lower, around 29% to 35%. Staying with the higher figure closer to 40% therefore holds the nonresident estimate down, keeping it conservative rather than inflated. With the business share and the resident share each anchored on their own local evidence, the sales-side estimate settles in the same zone the second method reaches.

Method 2 — start with people who spend here

The second method starts with people who live elsewhere but spend in Chesterfield and builds up from the main groups of them. Census commuting data show how many people work in Chesterfield but live elsewhere, and workforce, income, and consumer-spending data help estimate the taxable spending those commuters do here. Public tourism data estimate spending by visitors — the overnight and travel-related visitors captured in published tourism figures. A separate allowance then covers other day visitors: people who come into Chesterfield for the day without staying overnight and without being counted as commuters, such as day-trip shoppers, diners, and people attending events or visiting friends and family. These day visitors spend in the County but are not fully captured in either the tourism or the commuting data, so the method adds a separate allowance for them.

Because these groups are estimated from separate sources, the same spending can appear in more than one of them — a commuter's after-work purchase, for example, could also fall inside the visitor or day-visitor totals. Before the groups are combined, the method removes that overlap so the same spending is not counted twice. These sources identify the size of the groups more firmly than exactly how much each person spends here. Built up from these groups and net of overlap, the people-side estimate lands in that same zone — reinforcing, from a different direction, the share the first method points to.

Bringing the two methods together

The nonresident share cannot be counted directly — no record exists of where each shopper lives — so the County estimated it two ways, each grounded in public data specific to Chesterfield. The methods

start from opposite ends: one from the County's total sales, the other from the people who come here to spend.

Both arrive at the same place: roughly a quarter to just under a third of taxable spending is associated with people who live outside Chesterfield. The published research points to the same area or higher. When two independent methods and the outside literature converge, that agreement — not any single calculation — is what carries the conclusion.

The result as a range, **25% to 30%**, treats it as a planning range rather than a single fixed number — described cautiously so as not to overstate how much of the tax is paid by people who live elsewhere.

What published research shows

Research that directly estimates the nonresident share of a local sales tax is limited. Only a small number of published studies address this specific question, most from other states, using different methods and different tax bases, and no peer-reviewed study estimates the nonresident share for a Virginia locality. It is why the result is presented as a reasonable planning range rather than a precise measurement.

Within that limited literature, the County reviewed more than a single benchmark. National and Virginia studies of sales taxes paid on business purchases generally clustered around 40%. Ernst & Young and the Council On State Taxation estimated 40% for Virginia and 41.7% nationally; estimates across states ranged from 32% to 60%. Ring's peer-reviewed national study produced a similar overall business share while also finding wide variation by state.

Research on nonresident spending also shows a wide spread. A peer-reviewed North Carolina study estimated that, for the median county, about 17% of the local sales-tax base was associated with commuters and 12% with tourists. University of Minnesota Extension county studies looking at similar questions ranged from 27.4% to 51.3% nonresident.

These figures are context, not Chesterfield inputs. Tax bases, tourism, commuting, and retail patterns differ. Their value is in showing why a local range is more credible than copying one number from another place. The County-wide range does not describe every store, shopping area, or year.

Sources and links

These are the public data sources and published studies most directly tied to the two methods. Links open reader-friendly landing pages where the current data, research, and supporting information can be found. Outside studies are checks on the local ranges, not inputs that determine them.

Source group and links	Role in the analysis
Taxable sales and household spending Virginia Department of Taxation: 2025 taxable sales by locality and category U.S. Census Bureau: Chesterfield household income	Provides Chesterfield's taxable-sales base, local household incomes, and national consumer-spending patterns by income.

Source group and links	Role in the analysis
U.S. Bureau of Labor Statistics: consumer spending by income	
People who work or visit in Chesterfield U.S. Census Bureau: where Chesterfield workers live U.S. Census Bureau: household and worker data access Virginia Tourism Corporation: visitor spending in Virginia localities	Supports the commuting count, worker income profile, direct visitor spending, and a broad check on spending during an in-person visit.
Business purchases and local cross-checks U.S. Bureau of Labor Statistics: Chesterfield employment by industry (QCEW) U.S. Census Bureau: business operating expenses by industry U.S. Census Bureau: capital spending by industry U.S. Census Bureau: Economic Census customer-type table	Provides local employment and national expense, investment, and customer-type data used to build independent business-share checks.
Published research and outside comparisons Ernst & Young and Council On State Taxation: sales taxes paid by businesses Ring, National Tax Journal: consumers' and producers' share of the general sales tax Public Budgeting & Finance: commuters, tourism, and local sales taxes University of Minnesota Extension: local option sales-tax studies	Provides business-share benchmarks and local sales-tax comparisons from national, peer-reviewed, and university research. None determines Chesterfield's result.
Virginia tax rules and guidance Code of Virginia: Retail Sales and Use Tax chapter Virginia rule for where local sales tax is assigned	Provides the governing sales-tax chapter and the rule for assigning sales tax to a Virginia locality.